

April 11, 2003

To: Dr. Joey Cabrera
From: Juanito D. Salamat/ Hernani I. Bayani
Subject: Progress Report -Limon Norte Gold Prospect Tablas Romblon

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Dear Sir,

A total of 8.098 kilometers of river, creeks and foot trail traverse using portable transit and tape was completed during the fieldwork covering the $\pm$ 30 hectare land of Judge Cabrera and the eastern upstream extension of Cogon River from the property entry point or the Barko area. Twenty-three (23) channel and chip samples was collected and sent to Macphar Assay Laboratory for gold silver and copper analysis. Assay results are still not available.

Initial findings of our survey indicate the following:

1. There are at least four (4) east to N 60°-80° east and four (4) North to N 50°-75°W trending structures identified within the project area.
2. These structures are characterized by fault shear zone/quartz clay pyrite veins/ stockworks (clay pyrite quartz oxides fractured filled zone) and silicified argillized pyritized zone
3. The width of the structures map ranges from less than a meter to 35 meters wide and dips 42 degrees to 82 degrees north-northwest to south-southeast (see attached structural map).
4. Gold mineralization is associated or controlled by these structures.
5. Mineralization observed and identified within the area surveyed is commonly pyrite with noted minor chalcopyrite, galena and sphalerite occurring as fracture filling and fine disseminations.
6. Strong gouge and clay associated with abundant sulfides are noted to develop below surface as observed in some of the backhoe excavations and road works. This kind of ground condition is very dangerous for small scale tunneling operation. Notes
7. Bulk mineable gold deposit may be present within the claim area based on the width and strike length of the fault shear zone, stockwork and silicified argillized pyritized zone.
8. Assay values submitted from concentrate samples initially submitted by Dr. Cabrera indicate gold mineralization with grade ranging from 0.005 gram/ton to

March 6, 2014

Dr. Jose Cesar M. Cabrera
Dogon Oil Exploration Services

Sir,

As per your request, have consulted a geologist to estimate the probable and mineable deposits on the blocked portion of the STRUCTURAL INTERPRETATION MAP prepared by Geologist J. Salamat/H. Bayani of Mines and Geosciences Bureau Regional Office No IV dated March 2003.

The geologist used the "Trapezoidal/Triangular Method" in its calculation with the following assumptions:

- a. Specific Gravity of the ore $\approx 2.30 = \text{Sp. Gr.}$
- b. total thickness of deposit $\approx 1,000$ meters

From his calculation:

Total Volume of Mineralized Area $\approx 144,062,500$ cubic meters

Total Tonnage (Probable Deposit) $= 144,062,500 \times \text{Sp. Gr. (2.3)}$

PROBABLE DEPOSIT = 331. Million Tons

If the overburden is 30% of Probable Deposit then,

MINEABLE DEPOSIT = 331.3 MT X 0.30

$= 231.91 \text{ MT} \approx 231,910,000$

TARGET MILL PLANT CAPACITY (INCLUDING FLOTATION)

$\approx 5,000 \text{ TONS/DAY}$ at 300 operating days/year

LIFE OF THE MINE $\approx 231,910,000$

$5,000/\text{DAY} \times 300 \text{ DAYS/YR.}$

$\approx 154.6 \text{ yrs}$

VIRGILIO P. SORIANO

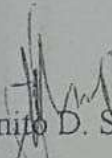
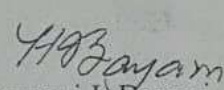
Metallurgical Engineer - Consultant

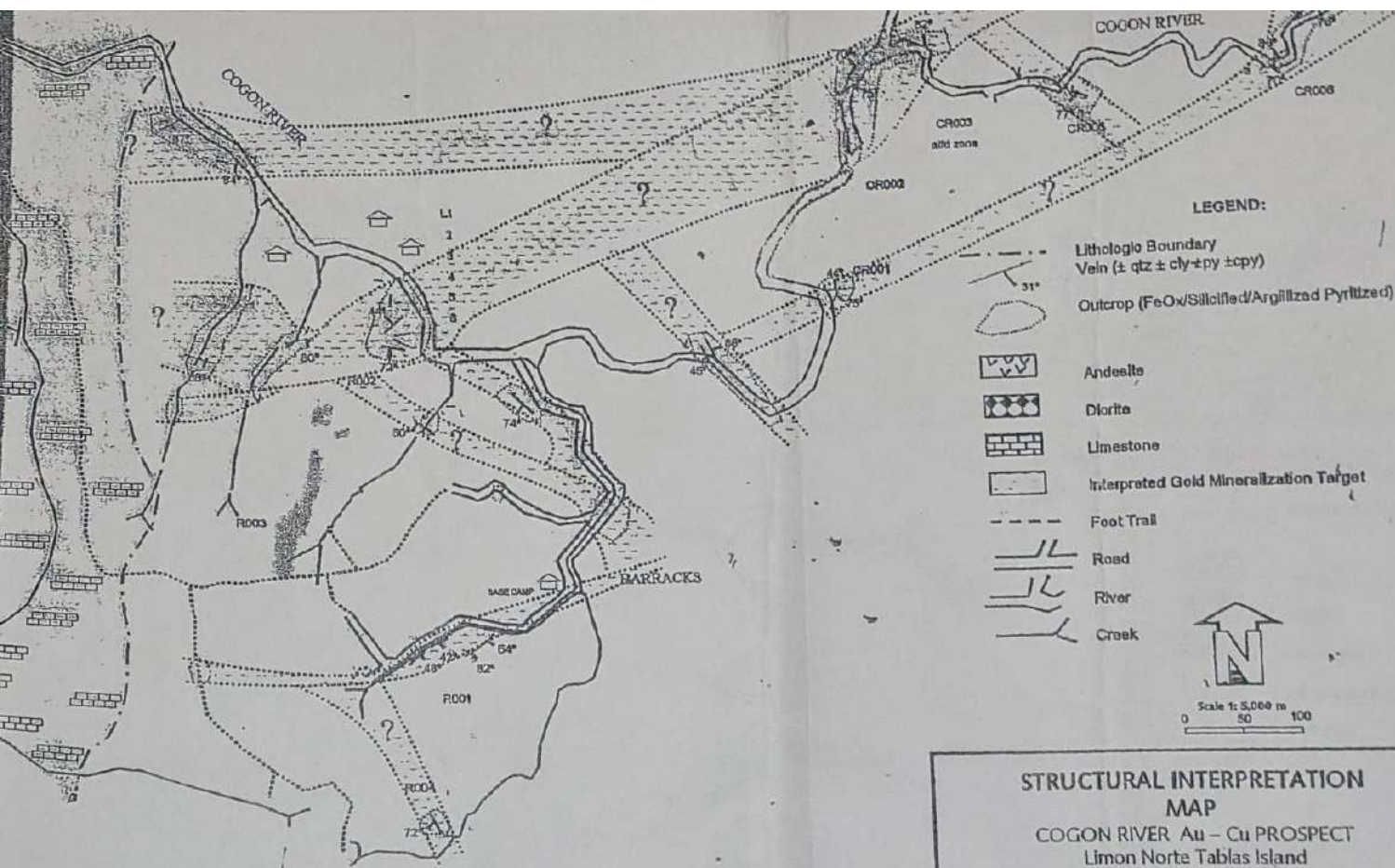
4.46 grams/ton. This could be meaningful if we know how the samples are collected and prepared before being sent to the laboratory.

9. Further assessment and more detailed evaluation are required to probe the above findings.
10. Above findings will be truly meaningful and significant if assay results from the 23 samples yield interesting assay values.

A comprehensive geologic report and recommendation will be submitted as soon as we received the assay results from Macphar Laboratory.

Respectfully Yours,


Juanito D. Salamat/  Hernani I. Bayani



STRUCTURAL INTERPRETATION MAP

COGON RIVER Au - Cu PROSPECT
Limon Norte Tablas Island
Province of Romblon

Prepared by: JSalamat/HBayani-Geologists March 2003

